BIPHMUN 2026

Background Guide

Committee: General Assembly

Topic: Regulating the use of Cryptocurrency in illegal drug trafficking activities

Agenda Overseen by: Marilyn Jiang

Letter from the Chair

Dear delegates,

Welcome to BIPHMUN 2026. My name is Marilyn Jiang, and I am a sophomore studying at BASIS Park Lane Harbour. It is my great honor to serve as your co-chair for the General Assembly, alongside Chair Crystal Wang. I am delighted to welcome you to this committee, and looking forward to working with each of you over the course of the conference.

This committee will address a critical and evolving issue: regulating the use of Cryptocurrency in illegal drug trafficking. As cryptocurrencies are decentralized, pseudonymous, and borderless, criminal networks have exploited these technologies to facilitate illicit financial transactions. Our challenge will be to coordinate international efforts to exterminate the malicious usages of cryptocurrency while navigating political complexities as we balance each country's stances and motives.

We expect delegates to come prepared, ready to engage in meaningful, respectful, and constructive debate. Most importantly, think creatively and innovatively.

Let us make this conference both enjoyable and memorable. See you all soon!

Warm regards,
Marilyn Jiang

Introduction

The United Nations General Assembly (UNGA) is one of the six principal bodies of the United Nations (UN). It acts as the main deliberative, policymaking, and representative organ, and grants equal voting power to all 193 member states.

Established in 1945 under the UN Charter by 51 founding member states after World War II, the UNGA has since been a key part of global governance. They have adopted landmark resolutions that shaped international progress— including the Universal Declaration of Human Rights, the Convention on the Rights of the Child, and the 2030 Agenda for Sustainable Development.

The General Assembly serves as a unique, inclusive forum for multilateral dialogue on the full range of international issues covered by the UN Charter, including peace and security, sustainable development, human rights, humanitarian aid, and international law (United Nations). As a cornerstone of the UN system, it oversees pivotal organizational decisions: appointing the Secretary-General, electing the Security Council's non-permanent members, and approving the UN's annual budget (United Nations).

History of the Issue

Cryptocurrency, first known as Bitcoin, was mined in 2009 by an anonymous computer programmer or group of programmers known as Satoshi Nakamoto. It consists of decentralized digital assets built on blockchain technology, designed to ensure secure financial transactions without the involvement of traditional banks or central authorities, meaning there is often no central body to monitor or freeze transactions. These digital currencies quickly gained global attention due to their unique potential to increase inclusion, lower transaction costs, and offer more privacy to their users; however, they have also been systematically exploited to facilitate illegal drug trafficking activities.

The use of cryptocurrency in illegal drug trafficking activities has persisted for over 15 years, accelerating sharply since 2020. It all began with the first major darknet market, Silk Road, in 2011, which revolutionized global illegal drug trafficking. Prior to the Silk Road, darknet drug sales were small-scale and fragmented. Silk Road utilized anonymizing internet technologies and Bitcoin for transactions, without the need for physical cash or regulated financial intermediaries, bypassing monitoring by law

enforcement. The marketplace in 2013 had “estimates of annual sales reaching around $22 million”; its cumulative illicit sales topped $1 billion by the time of its takedown (Bullard). The Silk Road was shut down by the FBI in 2013, and global regulators, such as FinCEN, began issuing the first anti-money laundering (AML) rules for crypto exchanges, which forced crypto exchanges to maintain a detailed record of transactions and consumer data. Although the Silk Road was closed and international organizations imposed stricter control on the use of digital currencies, it did not stop the illegitimate actions of drug trafficking happening through digital markets. From 2014, numerous new markets emerged. Such as the rise of privacy-focused coins like Monero that addressed Bitcoin’s traceability flaws and became the preferred crypto for darknet drug traffickers (Groysman). Other markets, such as Hansa and Alphapay, highly similar to Silk Road, also emerged, creating a more resilient but fragmented ecosystem. By 2023, Crypto is key to funding global drug precursor makers of fentanyl, nitazenes, MDMA, and other illicit substances (TRM Labs). In 2024, the TRM blockchain intelligence report finds 97% of the 120 Chinese precursor manufacturers analyzed (across 26 cities, 16 provinces) accept crypto payments (TRM Labs).

Description of the Issue

The rise of cryptocurrency is not only reshaping global finance but also serving as a powerful tool for criminal networks, particularly in illegal drug trafficking activities. Cryptocurrencies’ characteristic of decentralization, privacy, and global accessibility have made them a preferred financial tool for drug traffickers to bypass the controls of traditional banking systems. At its core, the issue involves criminal organizations, dark market operators, and the anonymous buyers using decentralized digital currencies to buy and sell illicit drugs across national borders.

This challenge is complicated by competing national visions for the future of money. The United States, for example, is moving toward adopting broader crypto frameworks, such as U.S.-based stablecoins, to ensure digital finance remains tied to the dollar. In contrast, countries like China maintain a more conservative stance, fearing that decentralized crypto could cause a fracturing of their financial systems. This divide creates a "diplomatic deadlock" at the UN; any global rules against drug trafficking must navigate between the U.S. desire for market growth and the conservative need for total state oversight.

The anonymity and the lack of central oversight in many blockchain systems are key factors in facilitating the cross-border transactions that increasingly happen with minimal risk of detection, enabling drug trafficking networks to operate on an unprecedented global scale. Without the need to reveal one's true identity, unlike traditional banking requirements, illegal activity happens in a safe space. This has turned dark markets into thriving international hubs for the sale of dangerous products through rapid transactions that all happen beyond the reach of standard law enforcement.

Additionally, the readiness of cross-border transactions through cryptocurrency significantly complicates international regulation and law enforcement cooperation. While authorities are currently leveraging advanced blockchain analytics and public-private partnerships to trace transactions and freeze illicit funds, leading international organizations like Europol are putting efforts into addressing this crisis. But the difference in policies regarding the use and monitoring of cryptocurrencies between each country generates fatal gaps that criminal activities exploit to achieve their goals. As a result, illicit financial flows continue to grow year after year, fueling the expansion of global drug trafficking and worsening public health crises around the world. In 2025, cryptocurrency wallets linked to illegal activities received an estimated $158 billion in transactions, a steep rise from the $64.5 billion recorded in 2024. This figure represents the highest volume of illicit cryptocurrency activity documented over the past five years (TRM Labs).

Due to these escalating safety and security concerns, governments and financial regulatory bodies are increasingly pressured to establish stricter, unified global frameworks to monitor and restrict the misuse of digital currencies.

Definition of Key Terms

Cryptocurrency
A digital or virtual currency that utilizes cryptography, operating independently of central banks or governments through blockchain technology.

Blockchain

A decentralized, distributed digital ledger that records transactions across many computers, making alteration or deletion extremely difficult.

Decentralization
The absence of a single central authority (such as a government or bank) controlling a financial system, and distributing control and decision-making across a global network.

Pseudonymity
The state of using a false name, a feature of many cryptocurrencies that allows users to transact under digital addresses rather than real names, providing partial anonymity.

Illegal Drug Trafficking
The illegal production, transportation, distribution, and sale of controlled substances across national or international borders.

Darknet Markets (DNMs)
Encrypted online platforms for illegal drug trade, using cryptocurrency as the main payment method.

Privacy coins
Cryptocurrencies like Monero or Zcash, that are designed to obscure transaction details, offering enhanced anonymity over Bitcoin.

Stablecoins
Blockchain-based cryptocurrency designed to maintain a stable value. Enabling fast, borderless, and stable-value transfers with strong pseudonymity.

Cryptocurrency Exchange
A digital platform where users can buy, sell, and trade cryptocurrencies for fiat currencies or other digital assets.

Anti-Money Laundering (AML)
Laws, regulations, and procedures aimed to prevent and detect criminals from disguising illegally obtained funds as legitimate income.

Know Your Customer (KYC)
Policies that require financial and crypto service providers to verify the identity of users to reduce fraud, money laundering, and illegal transactions.

Financial Action Task Force (FATF)
An intergovernmental body established in 1989 that set global standards aimed at anti-money laundering (AML), terrorist financing, and proliferation financing.

Past International Actions

Since the rise of darknet markets (DNMs), global organizations and government agencies have been putting substantial effort into launching coordinated regulatory and law enforcement actions in response to the exploitation of cryptocurrencies in illegal drug trafficking. These actions are shaped by the unique nature of cryptocurrencies. While such incentives have achieved favorable progress in addressing the critical and challenging issue, they have also revealed significant limitations and persistent gaps in implementation.

The 2009 launch of Bitcoin introduced a decentralized financial system operating outside traditional banking oversight. The Silk Road was launched in 2011 as the first major darknet marketplace for illegal drugs powered by Bitcoin. However, just after two years, in 2013, the Silk Road was shut down by the FBI. This was revolutionary since it proved that law enforcement could trace "anonymous" transactions. Quickly after the shutdown, new Darknet Markets (DNMs) like AlphaBay and privacy coins like Monero began to take a role in the continuing illegal drug trafficking activities through the form of cryptocurrencies. The 2017 takedown of AlphaBay and Hansa, led by agencies like the FBI, Dutch Police, and Europol through Operation Bayonet, showed that international cooperation could dismantle major hubs of crypto-fueled drug trafficking.
As criminal tactics evolved, so too did regulatory frameworks.

In 2019, the Financial Action Task Force (FATF) Travel Rule became a global standard, requiring cryptocurrency exchanges to share sender and receiver identity data—mirroring requirements for traditional banks. This was followed in 2020 by the EU’s 5th Anti-Money Laundering Directive, which brought crypto-to-fiat exchanges under strict legal scrutiny. These regulations proved highly effective at stopping criminals from

converting crypto into usable money, though they also pushed seasoned traffickers toward more private, unregulated decentralized platforms to evade detection.

Recent years have seen a shift toward aggressive, high-tech intervention to combat these evolving threats. In 2021, the takedown of Hydra Market—then the world's largest and longest-running darknet market—significantly disrupted Russian-speaking cybercrime networks and their crypto-fueled drug operations. In 2022, the U.S. Treasury took the controversial step of sanctioning Tornado Cash, a crypto "mixer" widely used by traffickers to obfuscate transaction trails. In 2023, the EU enacted the Markets in Crypto-Assets (MiCA) regulation, establishing the world's first comprehensive legal framework for digital assets, with a focus on preventing market abuse and protecting consumers.

More recently, in 2024, Europol led Operation SpecTor, which resulted in hundreds of arrests and the seizure of millions in cash and cryptocurrency. This operation is widely regarded as a major success; it used advanced digital investigation together with planned police raids. This shows that the online places drug dealers once thought were safe are quickly disappearing.

Timeline

Date	Events
January 3, 2009	Satoshi Nakamoto mines the first Bitcoin "genesis block." Bitcoin officially launched.
2011	Silk Road launched.
2013	The U.S. FBI shuts down Silk Road.
2014-2017	Expansion of darknet markets (DNMs). AlphaBay became the largest DNM by 2017.
July 2017	Law enforcement authorities (U.S., EU, Russia) take down AlphaBay and Hansa. Takedown of BTC-e.
2019	The Financial Action Task Force (FATF) issued the Travel Rule.
2020	European Union's (EU) 5th Anti-Money Laundering Directive (5AMLD).

Date	Events
2021	Hydra Market takedown by German and U.S. authorities.
2022	U.S. Treasury Tornado Cash Sanctions.
2023	EU enacted the Markets in Crypto-Assets (MiCA) regulation.
2024	Operation SpecTor led by Europol.
July 2025	The U.S. passes the GENIUS Act, aiming at supporting U.S. stablecoin adoption.

Bloc Stances

United States

While the United States takes an overall pro-cryptocurrency and innovation approach, with President Donald Trump pushing to "make America the 'crypto capital of the world'" (The White House), the United States continues a firm stance against the use of cryptocurrency in illegal drug trafficking activities, targeting transnational criminal organizations (TCOs) and narcotics networks, particularly fentanyl trafficking. The GENIUS Act in 2025 requires stablecoin issuers to comply with the Bank Secrecy Act, mandating anti-money laundering (AML) and sanctions compliance programs (The White House). The U.S. also strengthens international coordination through bodies such as JCODE and supports global standards to close cross-border regulatory gaps.

China

China maintains a conservative attitude towards cryptocurrencies and a total prohibition of crypto-related activities, with its most comprehensive ban in September 2021. China prioritizes financial autonomy and stability and holds that the unregulated decentralization and anonymity of cryptocurrencies inherently enable illicit use. However, China actively promotes its own sovereign digital currency, e-CNY, which is a controlled and traceable alternative for financial transactions, positioning it as supporting controlled innovation yet carefully preventing a disruption in its financial system.

United Kingdom

The United Kingdom actively supports the development of the cryptocurrency sector, but also imposes strict regulations targeting crypto's role in illegal drug trafficking and economic crime. Under the Economic Crime and Corporate Transparency Act of 2023, UK authorities gain enhanced powers to seize, freeze, retrieve, and even destroy illicit cryptoassets—especially privacy coins frequently used in narcotics-related money laundering (UK Parliament). The UK also enforces strict Financial Conduct Authority (FCA) oversight, mandatory AML/KYC requirements, and the global Travel Rule to eliminate anonymity.

European Union (EU)

The European Union supports the development of cryptocurrency through balancing innovation, financial stability, and consumer safety through comprehensive regulatory frameworks. The EU's Markets in Crypto Assets (MiCA) came into effect in 2024. MiCA establishes uniform EU-wide rules for crypto-assets, including many utility tokens and stablecoins, previously unregulated by EU finance laws or fragmented national rules (Boult). Complementing this, the EU has also employed a unified anti-money laundering framework, the AMLA, to ensure the total traceability of digital assets. Europol coordinates cross-border law enforcement and actively supports investigations to disrupt crypto-enabled illicit financial flows.

Developing countries

Developing nations often maintain a cautious, restrictive stance toward cryptocurrency, constrained by limited regulatory capacity and high risks of illicit financial activity. Drug trafficking severely harms vulnerable societies and weakens law enforcement and state authority in unstable regions. While many enforce strict AML/KYC rules aligned with FATF guidelines to combat crypto-fueled drug crimes, they also recognize that crypto can help unbanked populations access digital financial systems. Many nations have imposed partial bans to balance stability against criminal exploitation.

Potential Solutions

Potential solutions can be organized under three main categories: Legislative, technological, and international cooperation frameworks. Each approach offers specific

strengths but faces significant hurdles. We highly encourage delegates to think about novel solutions for addressing this issue.

1. Regulatory and Legal Frameworks

1.1 Universal Adoption of FATF Travel Rule

Global adoption of the Travel Rule means that all Virtual Asset Service Providers (VASPs), such as crypto exchanges, collect and share sender and recipient information for transders exceeding a specified threshold. Requiring the transfer of critical information like names, addresses, and account numbers, it increases transparency and eliminates the pseudonymity that drug trafficking criminals exploit. It ensures full traceability of where funds originate and end up. Ensuring even implementation globally is critical, with clear global standards, so that criminals will not readily exploit the regulatory loopholes by moving funds through non-compliant regions.

1.2 Mandatory KYC/AML Compliance for VASPs

Require crypto exchanges, wallet providers, and other intermediaries to verify user identities, monitor transactions, and report suspicious activity linked to drug trafficking. This system creates an auditable trail for crypto flows, reduces anonymous financial activity, and aligns with global FATF standards. However, it cannot cover peer-to-peer transactions or decentralized platforms, and weak enforcement in unregulated jurisdictions allows criminals to bypass verification by moving operations to less supervised areas.

2. Technological Frameworks and Tools

2.1 Advanced Blockchain Forensics

Deployment of specialized blockchain forensic tools, such as Chainanalysis, Elliptic, and TRM Labs, to help map transaction flows, identify darknet-linked wallets, and flag patterns associated with drug trafficking and money laundering, enabling automated suspicious activity reporting to national agencies and institutions. However, such systems struggle with the rise of privacy coins and private stablecoins, such as Monero and Zcash. Smaller law enforcement agencies from developing countries with limited

resources may face an economic and technological barrier to implementation. Criminals may also utilize methods such as mixers and cross-chain tools to hide transaction trails, making tracking difficult.

2.2 Artificial Intelligence (AI) and Machine Learning (ML)

Artificial intelligence can process vast quantities of blockchain data to identify suspicious patterns and map the connections between anonymous digital wallets far faster than manual review, thus allowing regulators to uncover the structural signatures of criminal organizations. These models can even bypass those using criminals using mixers or cross-chain transfers that basic blockchain forensics may miss. The fact that AI tools require high-quality, labeled training data to be accurate may remain a bottleneck, but with increasingly many transactions and data, this can be mitigated. AI tools need to be able to stand the increasingly evolving tactics of criminal organizations that bypass detection, therefore creating a persistent and evolving technological challenge for global authorities.

3. International Cooperation

3.1 Strengthening Ties Between Global Law Enforcement Agencies

Formal mechanisms such as Mutual Legal Assistance Treaties (MLATs) and joint investigative teams (JITs), supported by leading organizations like INTERPOL and Europol, establish structured channels for cross-border evidence sharing, cryptocurrency tracing, and coordinated asset seizure to target transnational drug-trafficking networks. These organizations also operate secure digital platforms that enable real-time intelligence exchange among national law enforcement, financial intelligence units, and cybercrime agencies. Cross-border collaboration also enables agencies to pool resources, access specialized expertise, and learn from one another. However, cross-border law enforcement cooperation is often slowed by bureaucratic MLAT procedures, political tensions, and conflicting national laws. Developing nations also lack the technical capacity to fully participate, leaving gaps that criminal networks exploit.

Questions to Answer

1. How could governments and organizations balance the use of AI and other technologies to monitor digital transactions and the privacy rights of innocent crypto users?
2. How can the international community create a unified crypto regulatory framework while respecting national financial sovereignty—especially when nations differ on whether crypto drives growth or threatens security?
3. How can the international community ensure developing countries are not left behind in global crypto regulation, given their limited technical and economic capacity?

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